KEY CONCEPTS ON GDP

Alas, nothing is perfect. And GDP is no exception. As much as economists like to use GDP as a measure of output, or even as a measure of a country's well being, GDP has some limitations when trying to answer those questions. Even though GDP is frequently used to capture the well-being of a society, it was never intended to do that, and as a result it leaves out important aspects of well-being like pollution or even happiness.

Key Terms	definition
quality of life	(sometimes called "well-being") the standard of health, happiness, security, and material comfort of an individual, a group of people, or a nation
non-market transactions	economic activity that takes place in the informal sector (from babysitting, to lawn mowing, to illegal drug sales), sometimes called the gray market or the black market economy; non-market transactions are not recorded, taxed, or officially monitored by the government. Because of this, the output and income generated is not included in the calculation of a nation's GDP.
income inequality	when a disproportionate share of a nation's income is earned by a small minority of households; for example, when the top 10% percent of households earn 80% percent of the total income in a country, there is a high degree of income inequality; GDP does not account for income distribution in any way.
sustainability	the ability of a system to endure indefinitely into the future; an increase in GDP will only be sustainable as long as it does not deplete natural resources too rapidly nor exploit the environment in a way that diminishes the quality of life of the nation's households over time.
economic bads	any outcome from economic activity that creates negative value for society, such as air pollution from cars that harms human health and the environment; unsustainable economic growth may diminish the quality of life of a nation's people.
depreciation of capital	the decrease in the value of a nation's capital stock over time; GDP accounts for investment in new capital but does not subtract the lost value of depreciated capital. Because of this, GDP may overstate the amount of economic activity in nations with rapidly depreciating capital stocks.
Human Development Index (HDI)	a composite measure of nation's social and economic development developed by the United Nations that includes measures of health, wealth, and education
Genuine Progress Indicator (GPI)	a measure of a nation's quality of life that includes the income and output measured by gross domestic product. This measure subtracts out the costs of negative effects related to economic growth such as crime, environmental degradation, resource depletion, and the costs of climate change. GPI nets the positives

Key Terms	definition
	and negatives of economic activity to provide a more accurate measure of a nation's quality of life than GDP alone.
Happy Planet Index (HPI)	a measure of a nation's quality of life that includes survey results on happiness, life expectancy at birth, the degree of inequality across society, and the ecological footprint

The limitations of GDP

GDP is a useful indicator of a nation's economic performance, and it is the most commonly used measure of well-being. However, it has some important limitations, including:

- The exclusion of non-market transactions
- The failure to account for or represent the degree of income inequality in society
- The failure to indicate whether the nation's rate of growth is sustainable or not
- The failure to account for the costs imposed on human health and the environment of negative externalities arising from the production or consumption of the nation's output
- Treating the replacement of depreciated capital the same as the creation of new capital

Alternative indicators have been developed to provide a more well-rounded measure of a nation's quality of life by different national and international organizations. These include:

- The Human Development Index (HDI)
- The Genuine Progress Indicator (GPI)
- The Happy Planet Index (HPI)
- Green GDP

Each of these indexes is a composite measure weighing both income and non-income variables such as life expectancy, literacy rates, environmental indicators, measures of inequality and so on. By including these variables, they provide a measure of life quality that goes beyond the narrowness of a nation's GDP value.